Audit Committee Meeting

FY Annual Comprehensive Financial Report



PORTLAND
Public Schools

February 5, 2026

DISTRICT INFORMATION

LARGEST DISTRICT IN OREGON

NUMBER OF SCHOOLS

45 ELEMENTARY		10 HIGH
11 K-8	14 MIDDLE	1 K-12

BOARD MEMBERS

Zone 1
Christy Splitt

Zone 2
Michelle DePass (Vice-Chair)

Zone 3
Patte Sullivan

Zone 4
Rashelle Chase-Miller

Zone 5
Virginia La Forte

Zone 6
Stephanie Engelsman

Zone 7
Edward (Eddie) Wang (Chair)

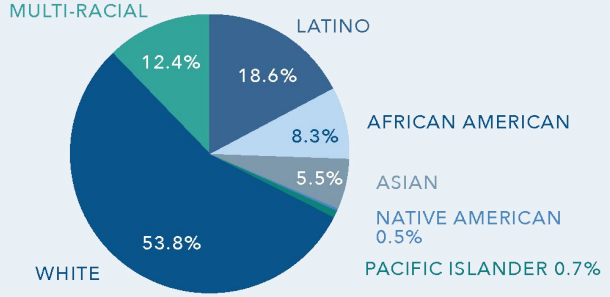
Student Representative
Ian Ritorto

STUDENT ENROLLMENT*

44,086 TOTAL

41,630	794	356	1,306
STUDENTS IN DISTRICT SCHOOLS	STUDENTS IN COMUNITY BASED PROGRAMS	STUDENTS IN SPECIAL SERVICES PROGRAMS	STUDENTS IN PUBLIC CHARTER SCHOOLS

STUDENT INFORMATION



RECEIVE ESL SERVICES
10%

ELIGIBLE FOR FREE MEALS via direct certification
31.3% 2023-24 school year

RECEIVE SPED SERVICES
17%

District Continuous Improvement Plan GOAL AREAS

- ATTENDANCE
- LITERACY
- MATH
- 9th Grade SUCCESS

*Numbers are approximate

TOGETHER, WE *RISE*

WITH **EXCELLENCE.** WITH **PURPOSE.**

Agenda

- From the Independent Auditor
  - Overview of process
  - FY25 Engagement
- FY 25 Annual Comprehensive Financial Report Highlights
- Corrective Action Plan Items
- Next Steps



From the Independent Auditor

- Overview of process
- Describe Audit Team and Activities
- Impact of Federal Guidance delay
- Independent Auditor Reports
  - Financial Statement
  - Internal Controls
- Questions and Answers



Dan Miley is a Partner in TKW's assurance practice. He is a CPA and licensed municipal auditor in Oregon. Dan joined TKW in 2013 and has led the TKW audit team for PPS for many years.

Portland Public Schools

Financial Statement Audit & Single Audit – June 30, 2025

Board of Education

Audit Committee Meeting – February 5, 2026

Regular Meeting – February 10, 2026

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The Audit

- Auditing standards generally accepted in the United States of America (“GAAS”)
- *Government Auditing Standards* issued by the Comptroller General of the United States (“GAS”)
- Audit Timing
  - Interim Fieldwork –5/5/2025 through 5/23/2025
  - Final Fieldwork – Began 10/6/2025
  - Delay in 2025 OMB Compliance Supplement
- Single Audit
  - $64.1 million of federal expenditures
  - 3 Major Programs (47% of federal expenditures)
    - AL# 10.553, 10.555, 10.559, 10.582 - Child Nutrition Cluster
    - AL# 84.010 - Title I Grants to Local Educational Agencies (Title 1, Part A of the ESEA)
    - AL# 84.425 - Education Stabilization Fund

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Financial Statement Audit Results

- Independent Auditor's Report
  - Unmodified - Financial statements are presented fairly in accordance with U.S. generally accepted accounting principles ("GAAP")
- Report on Compliance and Internal Control over Financial Reporting Based on an Audit of Financial Statements Performed in Accordance with Oregon State Regulations
  - 3 findings reported

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Single Audit Results

- Report on Internal Control over Financial Reporting and on Compliance and Other Matters Based on an Audit of Financial Statements Performed in Accordance with Government Auditing Standards
  - 1 significant deficiency noted
- Report on Compliance for Each Major Federal Program; Report on Internal Control over Compliance; and Report on the Schedule of Expenditures of Federal Awards Required by the Uniform Guidance
  - Unmodified opinion
  - 6 significant deficiencies noted
- Corrective Action Plan

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Required Communications

- Significant accounting practices, including policies, estimates, and disclosures
  - Implementation of GASB 101, *Compensated Absences* and GASB 102, *Certain Risk Disclosures*
  - Significant accounting estimates
    - Investments
    - Allowance for doubtful accounts
    - Depreciation
    - Self-insurance claims
    - Amortization of bond premiums and discounts
    - Compensated absences
    - Other Post Employment Benefits (OPEB) related balances
    - Pension related balances

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Required Communications

- 4 auditor proposed adjusting journal entries
- 2 uncorrected misstatements identified
- Not aware of any consultations with other accountants
- Recently issued GASB standards
  - GASB Statement No. 103, *Financial Reporting Model Improvements*
  - GASB Statement No. 104, *Disclosure of Certain Capital Assets*
  - GASB Statement No. 105, *Subsequent Events*
- Shared responsibility for independence
- Management representation letter

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Questions?

Thank You

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FY25 Annual Comprehensive Financial Report Highlights

- Staff Memo and Summary to identify specific areas of interest
  - GFOA Award
  - Corrective Action Plans as needed
  - Operational Fund Balance
  - Management Discussion and Analysis
  - Statistical Section



CFO Note on Findings

- The 2024-25 Fiscal year was over 50% completed prior to the current Financial Leadership Team
- Federal Program findings were procedural and control compliance, **not a loss or misuse of funds**
- State Program findings were were procedural and control compliance, **not a loss or misuse of funds**



Corrective Action Plan- Federal Programs

Finding: formal report identifying an issue where financial practices, records, or controls do not align with established standards, laws, or internal policies.	Corrective Action Plan: Describe the remedy, when it will be implemented and by whom.
2025-001 – Schedule of Expenditure of Federal Awards Under 2 CFR 200.510(b), the District is required to prepare a Schedule of Expenditures of Federal Awards (SEFA) for the period covered by the auditee's financial statements that includes the total federal awards expended as determined in accordance with 2 CFR 200.502. Additionally, the District has the responsibility for establishing and maintaining effective internal control over financial reporting and compliance	The Chief Financial Officer will ensure that there is at least a two-tier transactional review by managers to ensure that grant revenues, receivables, and unavailable grant revenue are correctly documented, effective immediately.
2025-002–Documented Review of Indirect Costs to Grants **2025-003-Documented Review of Indirect Costs to Grants** **2025-004-Time & Effort Certification for Federal Grants** **2025-005-Calculation of Indirect Costs to Grants** **2025-006-Documented Review of ESSER Annual Report** Per 2 CFR 200.303, a non-Federal entity must “establish and maintain effective internal control over the Federal award that provides reasonable assurance that the non-Federal entity is managing the Federal award in compliance with Federal statutes, regulations, and the terms and conditions of the Federal award.”	· The Chief Financial Officer will ensure staff retain documentation of review and approval of the indirect costs charged to the federal programs, effective immediately. · The Chief Financial Officer will ensure staff retain documentation of review and approval of the indirect costs charged to the federal programs, effective immediately. · The Chief Financial Officer will ensure notification to federally funded employees of their funding source twice a year and will make sure supervisors get reports and sign certifications for work duties in compliance with the federal grants twice a year.

Corrective Action Plan- State Programs

Finding: formal report identifying an issue where financial practices, records, or controls do not align with established standards, laws, or internal policies.	Corrective Action Plan: Describe the remedy, when it will be implemented and by whom.
2025-007 Exceeding Budget Appropriations The District had expenditures on a budgetary basis which exceeded appropriations by $4,147 thousand for General Fund – Instruction and by $3,584 thousand for Special Revenue Fund – Support Services.	District staff use multiple analytics softwares to monitor and project end-of-year expenditures by fund, function, and object. Monitored budget appropriations against actual expenditures. Appropriations adjusted to include any targeted carryover identified in the prior year annual financial report. The Chief Financial Officer will ensure monitoring measures for appropriations are in place in compliance with Local Budget Law, effective immediately.
2025-008 Budget Transfers in lieu of Supplemental Budget Oregon Local Budget Law requires a series of publications to adopt a supplemental budget rather than budget transfers.	The Chief Financial Officer will ensure monitoring measures for appropriations and any required modifications to the adopted budget are in place and in compliance with Local Budget Law including publications, effective immediately.
2025-009 State Reporting of Teacher Experience Out of a sample of 60 teachers selected, there were variances between the District's records and the years of experience reported to the Oregon Department of Education for four teachers.	The Chief Financial Officer will collaborate with the Chief Human Resources Officer to audit teacher experience to ensure accuracy in reporting to the Oregon Department of education, effective immediately.

OREGON DEPARTMENT OF EDUCATION

Local Budgeting in Oregon

Next Steps

- No changes to the report
- Board Approval by Resolution February 10th
- Appropriate Filings
  - Oregon Department of Education*
  - Secretary of State
  - EMMA (Public Disclosure to Bondholders)
- Implementation of Corrective Action Plans



*** Filed prior to 2/2/2026 to preserve February State School Fund payment**

Questions and Discussion